

SMARTRENT INC (SMRT) SMRT

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by

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			2026	2027
Price:	1.15	EPS	0	0
Shares Out. (in M):	192	P/E	0	0
Market Cap (in \$M):	221	P/FCF	0	0
Net Debt (in \$M):	-93	EBIT	0	0
TEV (in \$M):	128	TEV/EBIT	0	0

Description

Written up on VIC a few times before, we think shares in SmartRent could double over the next two years. Previous write-ups do a good job of explaining the business but simply SMRT provides hardware-enabled software for rental housing owners. SMRT allows apartment and single-family rental operators to remotely manage smart locks, thermostats, access, maintenance workflows, and self-guided tours through a software platform. SMRT has a \$220m market cap with \$93m of net cash for an enterprise value of \$127m. Consensus adjusted EBITDA for 2027 is \$3.1m and \$8.0 for 2028. More on that later.

Investors have done well if they shorted or avoided SMRT. A former SPAC, SMRT has been unprofitable, with no clear strategy, led by three CEOs in three years including one that lasted a mere two months. It's no wonder the stock trades where it does. But we believe the future will look a lot different than the past, and underlying performance is beginning to inflect positively. Newish CEO Frank Martell is doing a stellar job focusing the company, rebuilding the sales organization and cutting costs.

Going forward, the company is focused on maintaining best in class software and modules based on customer feedback (and not "if we build it, they will come"). Additionally, management understands how valuable its install services are and plans to use their industry leading base as a selling advantage. The sales team has been expanded and is in the early days of ramping new leads. Operationally, Martell has brought on Pankaj Bansi to streamline processes and costs. Sangeeth Ponathil has been brought on as CIO in an effort to expand the business into everyone's favorite upsell, data and analytics. SMRT has already selected Databricks to help with this initiative and Hexaware to help with the sales side. Importantly, Martell has worked before with Bansi and Ponathil, an important factor when turning around and positioning a business for the future.

SMRT has ~925,000 deployed units, ~\$65m of ARR, and a core install base that is extremely sticky. Churn is tiny because a) SMRT products are good and b) replacing them is very expensive with no particular upside. While SMRT has numerous competitors, some with nice products at similar prices, customers like SMRT because a) they are the leading player - software is excellent with minimal downtime and strong customer references, b) they are hardware agnostic, an open system vs. certain competitors, c) they arrange for install and d) prices are fair.

We believe the new focus and operational excellence at SMRT position it well for consistent growth, margin expansion and strong free cash flows in the future. The path to that is simple (on paper at least); increase sales velocity + ARR growth + flat operating costs = more margin dollars. Sales velocity and ARR growth will benefit from a) a simplified sales approach, b) new sales headcount, c) new value added resellers and d) new module upsells. In the future, we see two very important potential benefits to revenue, a) lower interest rates will drive more transactions which is a direct driver of new installs and b) data and analytics. Right now we are not giving the company any benefit from these interest rates are going up and data and analytics is a future offering.

A leading indicator of ARR is units booked. Over the 7 prior quarters to Q2, they averaged about 20K per quarter. Q2 was 48K, and while just one quarter, a reasonable early indicator the sales motion strategy is taking hold. The company prefers investors focus on units booked over the trailing twelve months - that was up 40% in the last quarter. Bears will pounce and point out the 48K units in Q2 were booked at an ARPU of ~\$5.57 vs. the \$8.70 for units booked in the previous 7 quarters - this must be a sure sign of pricing compression in the industry. However, management claims Q2 had a few large customers that booked basic IoT features and that the lower ARPU is not a reflection of pricing pressure. While we don't know the specific customers signed in Q2, we have spoken with customers, competitors and VARs and who have confirmed that industry pricing is stable. It is possible that some of the booked units in Q2 will eventually add modules or just continue as basic customers. Either way, good profitable growth, with hopefully more to come.

As the business transforms, financials will follow. Already, the company has now reported a few quarters of (heavily) adjusted EBITDA profitability. By the end of 2028, we would expect SaaS revenue to be just under \$100m, translating into adjusted EBITDA of ~\$30m and with free cash flow of over \$22m. In particular, this EBITDA number is well above consensus, consisting of two analysts who do not seem very focused on the story. For a growing and market-dominant technology company with sticky customers, we believe shares would trade at a more robust multiple. We show some scenarios around EV/ARR and EV/EBITDA below, but we acknowledge these are imperfect. The most important takeaways are: SMRT has ~\$.50/share of net cash, is guiding to be cash flow positive in 2026 (although negative if we assume stock comp as an expense), has ARR of \$65m, growing double digits and is now well positioned operationally to execute as the industry leader. Figuring out the exact upside is hard, but we believe the risk reward is excellent.

2028 ARR	2.00x	2.50x	3.00x	3.50x	4.00x	4.50x	5.00x						
80.0	\$1.32	\$1.52	\$1.72	\$1.92	\$2.13	\$2.33	\$2.53						
85.0	\$1.37	\$1.58	\$1.80	\$2.01	\$2.23	\$2.44	\$2.66						
90.0	\$1.42	\$1.64	\$1.87	\$2.10	\$2.33	\$2.56	\$2.79						
95.0	\$1.47	\$1.71	\$1.95	\$2.19	\$2.43	\$2.67	\$2.91						
100.0	\$1.52	\$1.77	\$2.03	\$2.28	\$2.53	\$2.79	\$3.04						
105.0	\$1.57	\$1.84	\$2.10	\$2.37	\$2.63	\$2.90	\$3.17						
110.0	\$1.62	\$1.90	\$2.18	\$2.46	\$2.73	\$3.01	\$3.29						
2028 adjusted EBITDA	8.0x	10.0x	12.0x	14.0x	16.0x	18.0x	20.0x	22.0x	25.0x				
	12.0	\$0.99	\$1.11	\$1.23	\$1.36	\$1.48	\$1.60	\$1.72	\$1.84	\$2.03			
	14.0	\$1.07	\$1.21	\$1.36	\$1.50	\$1.64	\$1.78	\$1.92	\$2.07	\$2.28			
	16.0	\$1.15	\$1.32	\$1.48	\$1.64	\$1.80	\$1.96	\$2.13	\$2.29	\$2.53			
	20.0	\$1.32	\$1.52	\$1.72	\$1.92	\$2.13	\$2.33	\$2.53	\$2.73	\$3.04			

24.0	\$1.48	\$1.72	\$1.96	\$2.21	\$2.45	\$2.69	\$2.94	\$3.18	\$3.55
28.0	\$1.64	\$1.92	\$2.21	\$2.49	\$2.78	\$3.06	\$3.34	\$3.63	\$4.05
32.0	\$1.80	\$2.13	\$2.45	\$2.78	\$3.10	\$3.42	\$3.75	\$4.07	\$4.56
36.0	\$1.96	\$2.33	\$2.69	\$3.06	\$3.42	\$3.79	\$4.15	\$4.52	\$5.07
40.0	\$2.13	\$2.53	\$2.94	\$3.34	\$3.75	\$4.15	\$4.56	\$4.97	\$5.57

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Catalyst

Growing new units in 2H 2026

Introducing new product offerings in 2027

Margin expansion

Actual FCF generation

Smart capital allocation

Messages

No messages